

Puffing, Negligence, Misrepresentation, and Fraud

Buyer Issue: Puffing

Puffing involves a bit of hyperbole (exaggeration). An example would be: "This has to be the deal of the century." There's nothing inherently wrong with puffing, provided you're sincere and you don't say the same thing about every house you show a buyer. Puffing enters the realm of misrepresentation and fraud when you intentionally state falsehoods about a property. "This property is going to appreciate more than any other home in this neighborhood simply because of its location" is pushing it. You could say, "This property should appreciate over time, due to its location," and be on safe ground, but by making an unsubstantiated claim, you're misrepresenting the facts. If you went further and said, "I have it on good authority that this property is due for a 15% appreciation hike next year," that's blatant misrepresentation because there's no way to know this.

If you're ever wondering whether something is puffing or misrepresentation, ask yourself whether it could be tested in a court of law. If it could, be very sure of your facts before you speak.

Buyer Issue: Negligence, Negligent Misrepresentation, and Intentional Misrepresentation

Buyers often sue their agents for **negligence** because they believe the agent should have known something or did know something that the agent failed to disclose, the agent took an adverse action that harmed the buyer, or the agent failed to take action when the agent should have, which harmed the buyer. This goes to the duty of reasonable skill and care that all agents owe their clients. Negligence is failing in the duty of care.

Examples

- Failing to present an offer on behalf of a buyer client in a timely manner, which results in the seller accepting an offer from another buyer
- Failing to notify the buyer of the importance of having a professional home inspection, which would have uncovered material defects that would have caused the buyer to either offer less for the property or rescind the offer

Negligent misrepresentation can occur when someone makes a statement that they should have known was false. Misrepresentation becomes fraud when it becomes **intentional misrepresentation**. Fraud and intentional misrepresentation are essentially the same thing, and mean not only should the person have known better, but they did know better and intentionally remained silent or misstated the facts. An example is a listing agent who sees the potential to subdivide a property, but doesn't inform the seller client, then buys the property at a deep discount for the agent's own profit. Intentional misrepresentation can include omission of a material fact and not simply a misstatement of one. If the law imposes a duty to disclose a known fact, and someone intentionally remains silent, that's passive fraud. Passive fraud is intentional nondisclosure. Active fraud is intentional misstatement of a material fact.